

Euro area: a controlled methods comparison

Hakan Zeki Gulmez | Research brief | 7 October 2026

Euro area vs Türkiye

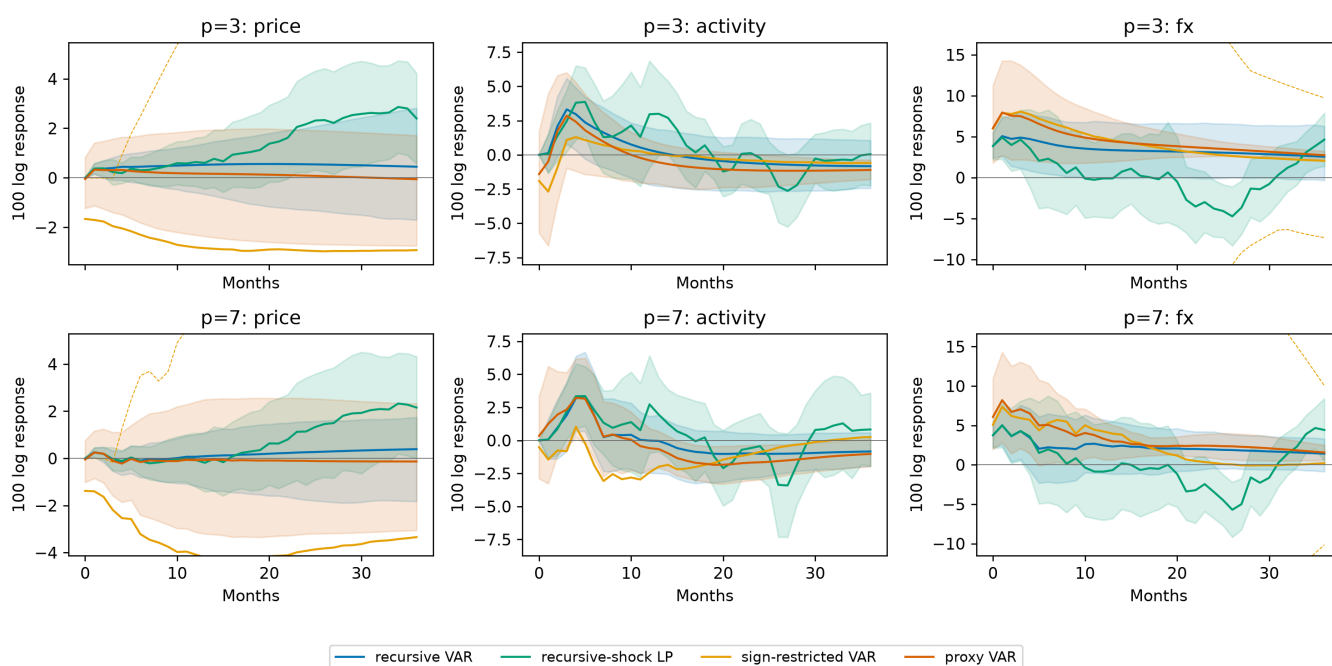
Question

How do monetary-response estimates differ on the same usable sample and fixed lag specification?

Method

We compare recursive VAR, sign-restricted VAR, recursive-shock local projections and proxy VAR on the same usable monthly sample. We report both fixed lag panels and trace a 100-basis-point tightening over thirty-six months. We retain the original Türkiye comparisons and interpret proxy evidence conditionally on instrument validity.

Methods comparison on a common sample and lag specification
2005-04-2025-10; identical usable VAR dates within both panels



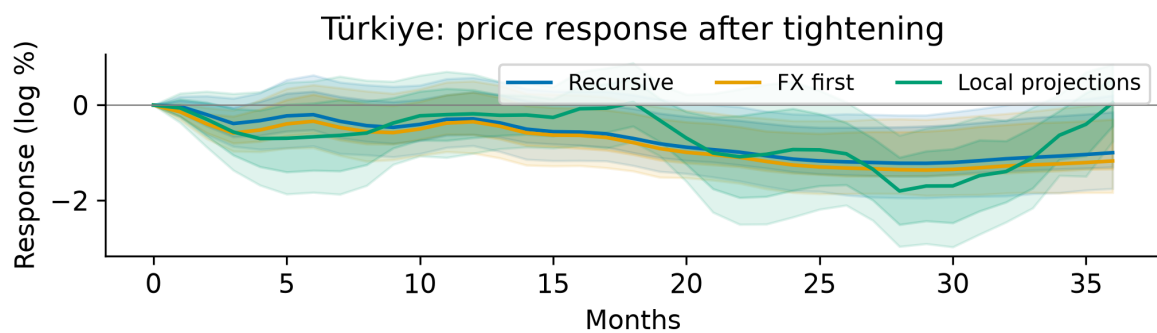
Sources: frozen ECB/Eurostat/CBRT-TURKSTAT/FRED and EA-MPD. V3 methods CSVs; inherited TR and recursive accounting.

Three findings for the decision-maker

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1. On the common sample, proxy euro appreciation at month twelve is 4.551 log percent at $p=3$ (1.889, 7.630) and 3.305 at $p=7$ (0.648, 5.505); both conditional 90% bands exclude zero.
2. The price response remains imprecise: proxy month-twelve estimates are 0.172 at $p=3$ and -0.078 at $p=7$, with both bands including zero. Sign restrictions impose early disinflation; their ranges are not confidence intervals.
3. Türkiye results are inherited: recursive month-twelve price response is -0.288 log percent. Recursive, FX-first and recursive-shock LP price point estimates remain negative but imprecise.



Limitations

- Proxy exogeneity remains an assumption; bands condition on fitted dynamics.
- Sign-admissible ranges are not confidence intervals.
- Both common-sample VARs remain slightly unstable.
- LP uses fewer supported origins at longer horizons.
- Latest-vintage observations do not recreate real-time information.

Detailed assumptions, diagnostics and source lineage: [README](#) Technical notes and [report/report.md](#).